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Homeowners

Underwriting & Product Guide

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Guidelines

Guidelines are applicable to new and renewal business unless otherwise noted. This is a summary document and is not inclusive of all underwriting criteria. Contact your underwriter for further questions.

The guidelines set forth in this document do not apply if they are in direct conflict with state laws.

Insurable Interest

- Named insureds must be an individual and have insurable interest.
- Property must be owned by the named insured or jointly with another resident of the household.

Our contracts, pricing, and underwriting are not designed to provide coverage for corporations, Limited Liability Companies (LLC), Limited Liability Partnerships (LLP), partnerships, or public entities. As such, they are not to be listed as named insured, additional insured, or additional interest with the **following exceptions**:

- **Limited Liability Companies and Limited Liability Partnerships** may be added as an additional insured provided the LLC/LLP has no commercial activities and is solely owned by no one other than our insured or our insured and their relatives, whether or not those relatives are members of the insured's household.
- **Corporations** may be added as an additional interest provided they are chartered as a trust, their by-laws specify that they exist as a family trust, and they have no commercial activities. The trustee and the occupant of the property must be the same individual(s).
- **Trusts** are not to be listed as named insured but can be added as an additional insured if the guarantor, the trustee, and the occupant of the home are the same individual.
- **"Estate of"** is a legal term and should not be listed as the named insured at new business. Policy provisions provide the appropriate coverage to the estate automatically when the insured dies during the policy term. If the policy is switched from an individual's name and lists the "Estate of," risks will be eligible for coverage for the remainder of the current policy term and a potential additional policy term to allow for settlement of the estate and assets provided the property is appropriately maintained by the executor or caretaker of the estate.
- **Life Estate, Life Tenancy, Life Interest, and Joint Tenancy with Right of Survivorship, Inc.** are all legal terms that are used to define the disposition of property at the time of an individual's death. The policy should be written in the name of the individual(s) with the legal entity as an additional insured.

Limited Liability Companies (LLC)

Limited Liability Companies (LLCs) may have an insurable interest and can be added as an additional insured when all the following conditions are met:

- The Additional Insured — Limited Liability Company endorsement is utilized.
- The LLC members consist of:
  - The Named Insured; or
  - The Named Insured and spouse or state registered civil union partner (as defined by a governing body); or
  - The Named Insured, spouse or civil union partner (if applicable), and a relative of either the Named Insured or spouse or civil union partner (if applicable).

  Note: An LLC cannot consist of two or more individuals who are not relatives or related by marriage or civil union/partnership (as defined by a governing body).
- The LLC must have a legal title to the residence that is not also titled in the name of a trust.
- The following information is required when completing the Additional Insured — Limited Liability Company endorsement:
  - The exact name of the LLC; and
  - A copy of the LLC's legal documentation displaying the name of the LLC and the listed members of that LLC. This information is to be retained by the agency.

Ineligible LLCs:

- Properties with more than one LLC.
- Properties with a combination of trust and LLC.

Applications

The following guidelines apply to any new application or change to an existing policy:

- Applicant or co-applicant must be 18 years of age or older.
- Property Loss History reports are required on applicant(s) and insured location prior to binding coverage.
- Credit history information is required on applicant(s) prior to binding (where allowed by law).
- Policies can be bound effective a maximum of 90 days in the future.
- Policy effective date is not allowed to be backdated.
- Risks cannot have a lapse in coverage in the past 12 months — unless prior insurance was not required. **Note:** Excluding prior renters business.

Credit for Existing Insurance (CFEI)

Credit for Existing Insurance (CFEI) provides a credit on new business package policies for the unexpired period of existing auto or home insurance.

- Allows the insured to bind a package policy without canceling the existing insurance policy.
- Provides ability to delay the effective date for a line of business (LOB) included in the package policy.

Note: The CFEI effective date is required to be within 6 months of the delayed LOB effective date. Additionally, CFEI cannot be selected on a price match policy and may not be modified once a policy is issued.

Binding Authority and Coverage Limits

Dwelling Primary

Residence or Coverage	Non-Premier Minimum Limit	Non-Premier Maximum Limit	Premier Client Minimum Limit	Premier Client Limit
Protection Class (PC) 1 – 8	$150,000	$1,750,000	$1,000,000	$5,000,000
PC 9*	$150,000	$1,000,000	$1,000,000	$2,500,000
PC 10**	$150,000	$1,000,000	$1,000,000	$2,000,000

*Includes all PC 9 or 1X – 8X variations.

**Includes all PC 10 variations.

Underwriting approval is required for the following:

- Non-Premier risks in PC 1 – 8 greater than $1,500,000.
- Non-Premier risks in PC 9 – 10 greater than $750,000.
- Premier risks in PC 1 – 8 greater than $2,000,000.
- All Premier risks in PC 9, 1X – 8X, or 10.

Dwelling Secondary/Seasonal and Non-Seasonal

Residence or Coverage	Non-Premier Minimum Limit	Non-Premier Maximum Limit	Premier Client Minimum Limit	Premier Client Maximum Limit
PC 1 – 8	$150,000	$1,000,000	$750,000	$2,500,000
PC 9 – 10*	$150,000	$750,000	$750,000	$1,500,000

*Includes all PC 9, 10, or 1X – 8X variations.

Underwriting approval is required for the following:

- Non-Premier risks greater than $750,000.
- All Premier risks.

Liability Limit

Residence or Coverage	Maximum Binding Authority	Premier Client Maximum Binding Authority
Liability Limit	$1,000,000	$1,000,000

Dwelling Requirements

- Dwellings are required to be written at 100% of the estimated replacement cost.
- All Perils minimum dwelling deductibles are as follows:
  - Coverage A less than $2,000,000 — $2,500.
  - Coverage A is greater than $2,000,000 — $5,000.
- Dwellings are required to carry a minimum Windstorm/Hail deductible of 1%.
  Note: Windstorm/Hail deductible cannot be less than the All Perils deductible.
- Dwelling Protection (Coverage A) can be up to 150% maximum of the estimated replacement cost.
- Insured is allowed the following number of families for owner-occupied properties:
  - **Non-Premier:** 1 – 4 family dwellings.
  - **Premier:** 1 – 2 family dwellings.
- Insured is allowed a maximum of six total locations or 16 units, including primary home, secondary locations, and rental properties.
- Secondary/seasonal homes are eligible when the primary residence is insured by National General or an affiliate company.
  Note: Secondary/seasonal Premier homes require primary Premier support.
- Dwellings in PC 9 – 10 are required to be within 10 road miles of first responding fire department.
- Dwellings in PC 9 – 10 are required to have adequate site access for fire suppression unit (e.g., firetruck) to reach the structure.
- Dwellings must not be in poor condition with unrepaired damage, below average maintenance, or marked as condemned, foreclosed, vacant, abandoned, or for sale.
- Dwellings under course of construction may be eligible at new business. See additional guidelines in Course of Construction Endorsement.
- Dwellings are required to have working smoke detectors on each floor and a fire extinguisher present.
- Dwellings owned but not occupied by the insured and rented to others, provided they are not seasonal rentals, may be eligible for a landlord policy where available.
- Value of any one outbuilding cannot exceed 50% of Coverage A. Coverage B must be increased to cover all other non-excluded structures at the residence premises.
- Applicants or dwellings must have no open claims (excluding non-rated claims) at the time of application.
- Structures away from the residence must meet the following requirements:
  - Risk has less than or equal to $100,000 replacement cost for any individual structure.
  - Risk has no more than two structures.
- Barndominiums are required to carry a minimum 1% All Perils deductible and the Roof Payment Schedule.
- Split log or whole log homes require underwriting approval.

Central Station Burglar and Fire Alarm Requirements

Primary Dwelling

Residence/Item Type	Amount of Insurance in Excess Of
PC 1 – 8	$1,500,000
PC 9 – 10*	$750,000

*Includes all PC 9 – 10, or 1X – 8X variations.

Secondary Dwellings — Seasonal/Non-Seasonal

Residence/Item Type	Amount of Insurance in Excess Of
PC 1 – 10 *	$750,000

*Includes all PC 9 – 10, or 1X – 8X variations.

Scheduled Personal Property

Residence/Item Type	Amount of Insurance in Excess Of
Scheduled Personal Property	$300,000

Roof Requirements

Risks with the following roofs are ineligible:
Note: This list is not all-inclusive.

- Tar paper, T-lock, rolled, Ludowici tile, and stapled roofs.
- Composition or composite roofs with more than one layer of shingles.

Roof Payment Schedule (RPS)

Roof Payment Schedule is required for the following roofs:
Note: Application of a roof spray or supplemental coating does not alter the roof age.

Roof Building Materials	Age of Roof
Composition (i.e., asphalt) and all other roof types — excluding Wood	Greater than or equal to 11 years
Metal, Slate, and Tile	Greater than or equal to 16 years

Wood Roofs

Risks are eligible subject to the following additional requirements:

- Betterview Aerial roof index score of 70 or higher.
- Cotality Wildfire Score less than or equal to 10.
- Dwellings with Coverage A limit less than or equal to $1,000,000 are required to carry a minimum Windstorm/Hail deductible of $2,500.
- Dwellings with Coverage A limit greater than $1,000,000 are required to carry a minimum Windstorm/Hail deductible of 1%.
- Roof age must be less than or equal to 25 years old.
- Roof Payment Schedule is required, regardless of roof age.
- Proof of a scheduled annual maintenance program is required to be submitted every 3 years for roofs over 5 years old.

Solid Fuel Burning Stove Requirements

- Property must be owner occupied.
- Stove is UL Certified.
- Solid fuel burning stove, pipe, and chimney are required to be professionally cleaned and inspected annually.
- Stove is installed by a professional contractor or dealer to manufacturer specifications.
- Stove is used only as supplemental or occasional heat.
- Chimney extends at least 3 feet above the highest point where it passes through the roof and is at least 2 feet higher than any portion of the dwelling that is within a 10 foot radius.
- Chimney is required to have a flue liner.
- Chimney is free of any defects (missing bricks, broken mortar, cracks, etc.).
- Dwelling has only one stove connected to the same chimney.
- Dwelling must have heat shields on the wall.
- Stove is on an approved mat that is at least 4 inches thick.
- Mat must extend out at least 18 inches from the front and sides of the stove.
- Area around stove must be free and clear of combustibles.
- Stovepipe may not pass through any concealed area (attic, closet, etc.) or any floor ceiling assemblies.
- Stovepipe may not pass through an exterior wall or window without connecting to a chimney, leaving the pipe exposed.
- Stovepipe may not have more than two right-angle turns between the stove and chimney.
- Stovepipe passing through a wall must be protected by an approved thimble and be at least 18 inches from the ceiling.
- Stove legs may not be elevated on blocks of wood.
- No more than one solid fuel burning stove is on the premises.

Swimming Pools

Swimming pools are acceptable subject to the following conditions:

- Pools are fenced in with self-locking gate.
- Diving board is not greater than or equal to 18 inches above the water surface.
- Above ground pools are equipped with a pull-up ladder.
- Rural homes may be acceptable without a fence or pull-up ladder, with prior underwriting approval.

Note: Swimming pools with slides are acceptable.

Trampolines

Trampolines are acceptable if surrounded by safety netting and positioned on flat ground.

Coastal Exposures

Catastrophe underwriting value will be calculated for all new business and renewal policies.

Dwellings located in each of the following zones will be subject to additional requirements.

Coastal Zone 1

The following counties require a mandatory Windstorm/Hail exclusion — signed exclusion form is required prior to binding.

Counties			
▪ Aransas ▪ Brazoria ▪ Calhoun ▪ Cameron	▪ Chambers ▪ Galveston ▪ Harris — ZIP codes 77571 and 77586, east of Highway 146	▪ Jefferson ▪ Kenedy ▪ Kleberg ▪ Matagorda	▪ Nueces ▪ Refugio ▪ San Patricio ▪ Willacy

Coastal Zone 2

The following counties are eligible subject to the following:

- Must have an acceptable CAT Score.
- Mandatory Windstorm/Hail Deductible of 2% or equivalent dollar amount.
  Note: Windstorm/Hail deductible cannot be less than the All Perils deductible.

Counties			
▪ Bee ▪ Brooks ▪ Goliad	▪ Hardin ▪ Hidalgo ▪ Jackson	▪ Jim Wells ▪ Liberty ▪ Live Oak	▪ Orange ▪ Victoria ▪ Wharton

Coastal Zone 2 — Houston

Fort Bend and Harris counties are eligible subject to the following:

- Must have an acceptable Catastrophe (CAT) Score.
- Mandatory Windstorm/Hail Deductible of 3% or dollar equivalent.
  Note: Windstorm/Hail deductible cannot be less than the All Perils deductible.

Inland Exposures

Windstorm/Hail Deductible Zone 1

The following counties are eligible subject to a mandatory minimum Windstorm/Hail Deductible of 2% or equivalent dollar amount:
Note: Windstorm/Hail deductible cannot be less than the All Perils deductible.

Counties		
▪ Collin ▪ Dallas ▪ Denton	▪ Johnson ▪ Kaufman ▪ Parker	▪ Rockwall ▪ Tarrant

Wildfire Exposures

Dwellings with any of the following wildfire risks are ineligible:

- Dwellings in PC 1 – 9 with a Cotality Wildfire Risk Score greater than or equal to 61.
- Dwellings in PC 10 with a Cotality Wildfire Risk Score greater than or equal to 41.
- Dwellings with a Cotality Wildfire Risk Score of 51 – 60 that do not pass a Brush Inspection.
- Dwellings with wood roofs regardless of siding materials.

Brush Inspection must pass the following:

- Dwellings cannot have wood siding or open/exposed areas.
- Dwellings must be located on a street at least 16 feet wide.
- Woodpiles must be at least 30 feet from all structures.
- Property boundary must be free of construction materials, pine needles, leaves, and other flammable debris.
- Liquefied Petroleum Gas (LPG) tanks (butane and propane) must be at least 30 feet from all structures and have 10 feet of clearance from brush or other flammable debris.

Loss History

Risk Profile

Loss Types — Fire, theft, liability, vandalism, water, weather, and other losses (excludes Equipment Breakdown/Home Systems Protection, Identity Theft, and Service Line Coverage).

- Loss history of the applicant or location to be insured may require underwriting review.
- Risk with a disputed loss must be referred to an underwriter for approval.
- Property with unmitigated or unrepaired damage from a prior loss is ineligible.
- Applicant(s) with the following loss activity within 3 years are eligible:
  Note: Scheduled Personal Property (SPP) losses are included.
  - Package and bundle policies with a maximum of two paid losses.
    Note: Risk cannot have more than one theft, one vandalism, or one water peril loss.
  - Monoline policies must have an Insurance Score of 1 – 30 and have a maximum of **one** loss.

Additional Loss History Requirements:

- Risks with a prior non-remediated mold loss are unacceptable.
- Mold losses that have been properly remediated and certified will not be counted for purposes of determining eligibility or merit rating. The certification (MDR-1 form) must be submitted to underwriting prior to acceptance of risk.
- No non-remediated mold, fire, vandalism, theft/burglary, or flood losses in last 5 years. Prior losses caused by negligence or intentional acts should not be written.
- Up to two appliance-related water losses in a 3-year period that have been properly remediated and certified will be accepted. The certification (WDR-1 form) must be submitted to underwriting prior to acceptance of the risk. Any risk that has made and receive payment for three or more appliance-related claims within a three-year period is ineligible.

Loss Descriptions

Peril	Loss Type Code	Loss Type Description
Fire	FIRE	Fire
Fire	PDEC	PD — Explosion, Riot, Aircraft, Vehicles
Fire	SMOK	Smoke/Soot/Puff Back
Liability	CRFT	Liability — Watercraft
Liability	DOGB	Liability — Dog Bite
Liability	HOPD	Liability — Property Damage
Liability	HOWC	Liability — Workers' Compensation
Liability	IDTFT	Identity Fraud
Liability	LIAO	Liability — Other
Liability	MEDP	Liability — Medical Payments to Others
Liability	SLIP	Liability — Slip/Fall
Other	CONT	PD — Contamination or Pollution
Other	LIVES	Livestock
Other	MOLD	Mold
Other	MOVE	Other Earth Movement — Excl EQ/Sinkhole
Other	PDOT	All Other Property Damage Losses (Building Collapse)
Other	QUAK	Earth Movement/Volcano
Other	SINK	Sinkhole
PPA Physical Damage	CM	Other than Collision
PPA Physical Damage	TW	Towing

Loss Descriptions Continued

Peril	Loss Type Code	Loss Type Description
Theft	CRED	Theft — Credit Card
Theft	MDIS	Mysterious Disappearance
Theft	MDSI	Mysterious Disappearance Scheduled Items
Theft	THFO	Theft — Other
Theft	THFS	Theft — Scheduled Personal Property
Vandalism	VMM	Vandalism or Malicious Mischief
Water	APPL	Water — Other (Appliance)
Water	FLOD	Water — Flooding
Water	FRZE	Water — Freezing or Burst Pipes
Water	WATR	Water — Other
Weather	HAIL	Hail
Weather	ICE	All Other Property Damage Losses (Ice Damage)
Weather	LGHT	Fire — Lightning
Weather	WEATHER	All Other Property Damage Losses (Weather Related Loss)
Weather	WIND	Wind
Weather	WSNOW	All Other Property Damage Losses (Weight of Ice or Snow)

Ineligible Exposures

- Resident(s) in a high-profile profession susceptible to personal injury type claims such as libel and slander. Such professions include but are not limited to: authors, editors, or publishers; professional actors, athletes, or entertainers; broadcasters or telecasters; public lecturers, politicians, or political activists; or any person well known to the general public because of their position, occupation, or activities.
- Risks in which the applicant or any other occupant of the dwelling owns or keeps on the premises a vicious or dangerous dog, a wild or exotic animal (or mix thereof), or any animal that has shown a propensity to be vicious or dangerous. A dog or animal is considered dangerous if any of the following apply:
  - Carrier has a claim as a result of an injury caused by the animal's bite in the past 5 years.
  - Medical report reflects injuries were caused by the animal, whether or not a claim was made.
  - Documentation from a state or local agency demonstrates the animal has vicious or dangerous propensities.
  - Possession, ownership, or harboring of the animal is unlawful.
- Insured or any covered person who has had any personal property or casualty insurance canceled, declined, or non-renewed for any underwriting reason or reasons other than agency termination, carrier insolvency, or carrier no longer writing business in the state within the past 5 years.
- Mobile or manufactured homes.
- Townhouse or rowhouse with any of the following:
  - Greater than eight individual family units within a fire division.
  - Frame construction if townhouse/rowhouse has greater than four units and is built before 1980.
  - Firewall that does not go through the roof.
- Yurt homes, earth homes, and basement homes.
- Boat houses as primary residences.
- Dwellings with skateboard or bicycle ramps on premises — unless the Specific Structure Exclusion is on the policy excluding the skateboard or bicycle ramp.
- Treehouses that are above 12 feet from the ground — unless the Specific Structure Exclusion is on the policy excluding the treehouse.
- Dwellings listed on a historic registry.
- Dwellings built on:
  - Open foundations.
  - Island exposures.
  - Piers, stilts, wharves, jetties, or pilings.
- Dwellings with knob and tube or aluminum electrical wiring.
- Dwellings with Stab Lok or Zinsco electrical panels.
- Dwellings without a permanent slab or foundation.
- Dwellings constructed with EIFS/Dryvit which is in poor condition.
- Dwellings of obsolete, uncommon, unconventional, or irreplaceable construction/design/materials.
- Dwellings constructed, renovated, or remodeled by someone other than a licensed contractor.
- Steel construction homes converted from containers.
- Structures converted to dwelling purposes from another use — excluding barndominiums.

Ineligible Exposures Continued

- Structures with more than four stories — excluding condominium, renter, and co-operative.
- Relocated dwellings.
- Dwellings with primary or central heat from a portable source.
- Dwellings with coal or kerosene as the secondary heater.
- Dwellings without central heating, unless in a warm climate or seasonal dwelling with proper winterization.
- Dwellings in PC 10 with a solid fuel burning stove.
- Tenant-occupied dwellings with a solid fuel burning stove.
- Underground oil tanks.
- Failure or refusal by any applicant to allow an inspection of the premises for which insurance is being requested or provided.
- Risks with unacceptable inspection results.
- Properties located on unpaved roads or roads not passable in all seasons.
- Properties in known wave wash, sinkhole, pollution, landslide, or cave-in area.
- Properties in flood zones A and V without an active flood policy.
- Dwellings with market value under 70% of the current replacement cost.
- Properties greater than $1,500,000 and built prior to 1930 without Functional Replacement Cost endorsement — unless Premier Client coverage selected.
- Properties greater than $1,500,000 or 5,000 square feet without Extended Replacement Cost endorsement.
- Dwellings classified as not in a fire district (i.e., outside a legally established fire protection jurisdiction).
- Properties with commercial exposures or non-incidental business on the premises or within 100 feet of a commercial or industrial property.
- Primary residence that is rented.
  Note: Underwriting approval is needed for short term rentals up to 3 months.
- Secondary/seasonal dwellings rented more than 12 weeks per year.
  Note: Home Sharing coverage is required on tenant-occupied secondary/seasonal dwellings.
- Policy with more than one primary residence (additional residences must be secondary or seasonal).
- Properties with more than two mortgages.
- True farming exposures:
  - Farm income exceeding $5,000 annually ($10,000 annually with Incidental Farming Endorsement).
  - Risk with more than 5 head of livestock or horses (10 head of livestock or horses with Incidental Farming Endorsement).
    Note: Livestock includes cattle, horses, donkeys, mules, goats, sheep, and swine.
  - Racing or show animals.
  - Horses boarded for others.
  - Risk with more than one tractor, other than a lawn or garden tractor, or any true farm machinery.
  - Farm employees or transient laborers.
  - Manufacturing or processing activities (creameries, milk distribution, etc.).
  - Public activities such as hayrides, hunting, fishing, or camping.

Boat and Personal Watercraft

Extended Watercraft Liability Requirements

- Boat and personal watercraft coverage must be written as part of a homeowner policy.
- Value is less than or equal to $200,000.
- Boat or personal watercraft length is less than or equal to 26 feet (at centerline), or sailboat length is less than or equal to 50 feet (at centerline).
  Note: Motorized sailboats greater than 26 feet are ineligible.
- Maximum speed is less than 50 miles per hour (MPH).
- High performance boats must be referred to the underwriter.
- Operators must meet the private passenger auto operator requirements.
- Operators with more than one accident or violation in the past 5 years must be referred to the underwriter.
- Operators with a major motor vehicle violation in the past 5 years must be referred to the underwriter.
- Operators cannot have a boating violation in the past 5 years.

Personal Watercraft Risk Profile

Operator Requirements

- Personal watercraft is ineligible if any operator has had a violation and/or paid at fault accident in the past 3 years.
- Operators are required to have a minimum of 2 years' experience operating a personal watercraft.
- Operators are required to be licensed and 22 years of age or older.

General Requirements

- Insured is required to have a minimum of 2 years' ownership of a personal watercraft.
- Newly purchased watercraft is required to be valued at its full purchase price.
- Engines with greater than 1,500 cc must be referred to the underwriter.
- Personal watercraft with a value greater than $15,000 is ineligible.

Ineligible Boats and Personal Watercraft Exposures

- Boat and personal watercraft that are not seaworthy.
- Kit or homemade craft.
- Hydroplanes and one-person motorized boats (excludes personal watercraft, jet skis, or wave runners).
- Submarines, motor-driven surfboats, water cycles, and experimental craft.
- Surplus military or naval craft.
- Air boats, air propelled boats, and marsh boats.
- Inflatable boats.
- Ice boats.
- Amphibious land/watercraft.
- Jet powered boats including, but not limited to, jet boats and jet drives (excludes personal watercraft).
- Boat and personal watercraft used for purposes other than private pleasure.
- Boat and personal watercraft powered above manufacturer or coast guard's designation.
- Boat and personal watercraft with power source other than a marine engine.
- Boat and personal watercraft designed or modified for performance or competition.
- Boat and personal watercraft hauled by a trailer not designed for use as boat trailer.
- Boats with existing damage.
- Boat and personal watercraft used for any commercial or business-related use, including renting, hiring, or chartering.
- Boat and personal watercraft used for racing (other than sailboats).
- Boat and personal watercraft used as permanent living quarters, including floating homes and houseboats, whether stationary or not.

Scheduled Personal Property (SPP)

Coverage is available on all homeowners, renters, and condominium primary policies.

- Primary residence schedule total, blanket item, or single item may not be greater than 50% of Dwelling Protection — Coverage A.
- Detailed appraisal or bill of sale dated within 5 years is required for all scheduled items:
  - Coverage A less than $500,000:
    - Items valued greater than or equal to $25,000 are required to be retained by the agent for future underwriting audits.
    - Items valued greater than or equal to $50,000 are required to be submitted to Underwriting upon request.
  - Coverage A greater than or equal to $500,000:
    - Items valued greater than or equal to $25,000 are required to be retained by the agent for future underwriting audits.
    - Items valued greater than or equal to $75,000 are required to be submitted to Underwriting upon request.
- Vaulted classification should only be used if an item is kept in a bank vault off premises. Items kept in home safes are not considered vaulted. For an item to be considered vaulted, it should not be removed from the vault more than three times per year, for no longer than a week each time. When an item is temporarily removed from the vault, the company must be notified of the circumstances and duration of the removal.

SPP Ineligibility

- Known collectors, dealers, or exhibitors.
- Items located in dwellings other than primary residences.
- Fine arts that are loaned or exhibited.
- E-Bikes with a deductible less than $250.
- Items used for professional purposes excluding musical instruments.

Signature, Preferred, and Elite Binding Authority

Item	Maximum Blanket Limit	Blanket Single Item Limit	Maximum Binding Limit for Schedule	Maximum Binding Limit for Single Item
Aggregated Scheduled or Blanket Personal Property	$150,000	$10,000	$150,000	$50,000
Jewelry	$50,000	$10,000	$100,000	$50,000
Furs	$50,000	$10,000	$100,000	$50,000
Camera	$50,000	$10,000	$100,000	$50,000
Musical Instruments — Non-Professional	$50,000	$10,000	$100,000	$50,000
Musical Instruments — Professional	$50,000	$10,000	$100,000	$50,000
Silverware	$50,000	$10,000	$100,000	$50,000
Fine Art	$50,000	$10,000	$100,000	$50,000
Fine Art Breakage	$50,000	$10,000	$100,000	$50,000
Sports Equipment (Golf, Tennis, etc.)	$50,000	$10,000	$100,000	$50,000
Firearms	$10,000	$1,500	$100,000	$50,000
Fishing — All	$50,000	$10,000	$100,000	$50,000
Coins/Collectibles/Trading Cards	$50,000	$10,000	$100,000	$50,000
Business Personal Property	$50,000	$10,000	$100,000	$50,000
Stamp Collections	$50,000	$10,000	$100,000	$50,000
Bicycles	$50,000	$10,000	$100,000	$50,000
E-Bikes	$10,000	$2,000	$15,000	$3,500
Wine and Spirits	$25,000	$1,000	$25,000	$1,000
Miscellaneous			Refer to Underwriting	

Premier Client Binding Authority

Item	Maximum Blanket Limit	Blanket Single Item Limit	Maximum Binding Limit for Schedule	Maximum Binding Limit for Single Item
Aggregated Scheduled or Blanket Personal Property	$150,000	$10,000	$300,000	$100,000
Jewelry	$100,000	$10,000	$250,000	$100,000
Furs	$100,000	$10,000	$250,000	$100,000
Camera	$100,000	$10,000	$250,000	$100,000
Musical Instruments — Non-Professional	$100,000	$10,000	$250,000	$100,000
Musical Instruments — Professional	$100,000	$10,000	$250,000	$100,000
Silverware	$100,000	$10,000	$250,000	$100,000
Fine Art	$100,000	$10,000	$250,000	$100,000
Fine Art Breakage	$100,000	$10,000	$250,000	$100,000
Sports Equipment (Golf, Tennis, etc.)	$100,000	$10,000	$250,000	$100,000
Firearms	$25,000	$1,500	$250,000	$100,000
Fishing — All	$100,000	$10,000	$250,000	$100,000
Coins/Collectibles/Trading Cards	$100,000	$10,000	$250,000	$100,000
Business Personal Property	$100,000	$10,000	$250,000	$100,000
Stamp Collections	$100,000	$10,000	$250,000	$100,000
Bicycles	$100,000	$10,000	$250,000	$100,000
E-Bikes	$10,000	$2,000	$15,000	$3,500
Wine and Spirits	$25,000	$1,000	$25,000	$1,000
Miscellaneous			Refer to Underwriting	

Coverages

Section I Coverage

Coverage A — Dwelling

Coverage provides protection against sudden and accidental direct physical loss to property as indicated below, provided the cause of loss is not excluded by the policy.

- Dwelling shown on the Declarations Page, including structures attached to the dwelling.
- Materials and supplies located on or next to the residence premises used to construct, alter, or repair the dwelling or other structures on the residence premises.

Coverage B — Other Structures

Coverage provides protection against sudden and accidental direct physical loss to property, provided the cause of loss is not excluded by the policy. The policy automatically provides coverage on a blanket basis to other structures located on the residence premises set apart from the dwelling by clear space. This includes structures connected to the dwelling by only a fence, utility line, or similar connection.

This blanket coverage may be endorsed to expand coverage to include structures located away from the residence premises if used in connection with the residence premises.

Coverage C — Personal Property

Coverage provides protection for direct physical loss to the property owned or used by an insured while it is anywhere in the world, provided the loss is due to a covered peril unless excluded in the policy.

Coverage D — Loss of Use

The limit of liability for Coverage D is the total limit for the following:

- **Additional Living Expense** — This coverage reimburses the insured for the cost of maintaining a comparable standard of living following a covered loss that exceeds the insured's normal expenses prior to the loss. The following reimbursement limits apply:
  - Non-Premier — 24 months limit
  - Premier — No limit.
- **Civil Authority Prohibits Use** — If a civil authority prohibits the insured from use of the residence premises as a result of direct damage to neighboring premises by a peril insured against, this coverage covers the loss as provided in Additional Living Expense and Fair Rental Value.

Section II Coverages

Coverage X — Family Liability Protection

Coverage provides protection in the event a claim or suit is brought against an insured for damages because of bodily injury or property damage caused by a covered occurrence:

- Pay up to the limit of liability for the damages for which an insured is legally liable.
- Provide a defense of National General's choice and expense, even if the suit is groundless, false, or fraudulent. National General may investigate and settle any claim or suit that is deemed appropriate.

Coverage Y — Guest Medical Protection

Coverage pays the necessary medical expenses that are incurred or medically determined within 3 years from the date of an accident causing bodily injury. Coverage does not apply to the insured or regular residents except residence employees.

Medical expenses mean reasonable charges for medical, surgical, x-ray, dental, ambulance, hospital, professional nursing, prosthetic devices, and funeral services.

Optional Coverages

Assisted Living

Coverage provides protection for a relative of an insured who resides in an assisted living care facility located in a state that National General is licensed to write homeowners business. Coverage includes:

- Loss to personal property.
- Increased limits for items such as but not limited to eye wear, contact lens, false teeth, and dentures.
- Additional living expenses if the living facility becomes uninhabitable.
- Bodily injury and property damage to others, excluding facility staff or professionals.

This coverage applies only if the person listed:

- Is related to an insured by blood, marriage, or adoption.
- Is not a member of the household.
- Regularly resides in the living care facility listed on the Declarations Page.

This coverage applies if the listed assisted living care facility is licensed and provides residents with services including but not limited to:

- Dining
- Physical or occupational therapy
- Medical supervision
- Housekeeping
- Social services.

Available Limits

Coverage C — Personal Property:

This endorsement provides the following special coverage limits:

- $1,500 for each hearing aid or other similar audio enhancement device.
- $300 for each pair of eyeglasses.
- $250 for all contact lenses.
- $500 for all false teeth or dentures.
- $250 for each medic-alert device.
- $250 for all walking aids and devices such as walkers or canes.
- $2,500 for each wheelchair, motorized scooter, or any other similar device.

Coverage D — Loss of Use:

- Additional Living Expenses — Pays up to $500 per month for up to 12 consecutive months.
- Civil Authority Prohibits Use — Pays the reasonable and necessary increase in living expenses for up to 2 weeks when the facility is uninhabitable.

Coverage X — Liability:

Coverage will not cover the staff or any liability that is assumed by the assisted living facility.

Building Codes

The endorsement automatically provides the following percentages of Coverage A limit of liability to pay for the increased costs necessary to comply with the enforcement of an ordinance or law to bring the property up to code after a covered loss.

- Signature — 10%
- Preferred — 15%
- Elite — 25%
- Premier — 100%.

The policy may be endorsed to increase the basic Building Codes coverage amount to accommodate the increased costs known or estimated by the insured for materials and labor to repair or replace the damaged property and to demolish the undamaged portion of damaged property and clear the site of resulting debris according to the ordinance or law.

Building Material Theft

Coverage pays for sudden and accidental direct physical loss of materials or supplies caused by theft to a dwelling under construction or having major renovation.

Course of Construction Endorsement

Dwellings under construction or significant renovation are referred to an underwriter for approval. The risk must meet the following criteria to be eligible for the Course of Construction endorsement.

- Building Material Theft coverage is required.
- Dwelling is required to be in PC 1 – 8.
- Dwelling is required to be written at completed value; maximum completed value for a course of construction exposure is $1,000,000.
- Dwelling has a minimum deductible of $1,500.
- Insured is not acting as general contractor unless certified as a licensed contractor within state where the dwelling is located.
- Dwellings valued $500,000 or less are required to be completed and occupied within 180 days.
- Dwellings valued over $500,000 are required to be completed within 1 year.
- SPP coverage is unavailable until construction is completed.

Business Personal Property

Coverage offers financial protection for the repair or replacement of lost, damaged, or stolen business property. The following coverage limits are available:

- Non-Premier:
  - On Premises — Up to $10,000
  - Off Premises — Up to $4,000.
- Premier:
  - On/Off Premises — $10,000.

Business Pursuits

Business Pursuits Coverage may be provided for Family Liability Protection (Coverage X) and Guest Medical Protection (Coverage Y) arising out of business pursuits within the classifications listed below. Coverage does not apply if the insured owns the business or if the business is financially controlled by an insured person or by a partnership of which an insured person is a partner or member. Business Pursuits Coverage does not apply to personal injury. When this coverage is selected, the policy is referred to Underwriting.

Classifications

- Clerical/Office work (No customers on site)
  Examples: Accounting, insurance, computer programming, etc.
- Sales/Customer Service (Customers on site)
  Examples: Training salespersons, real estate sales, servicing operations, etc.
- Messenger; installation or demonstration.
- Teachers, including athletic, manual, or physical training/teaching.

Electronic Data Recovery

Coverage reimburses the insured for the cost of electronic data recovery in the event of a covered, sudden and accidental loss of electronic data stored on the insured's electronic data processing equipment or accessories.

The deductible for Coverage C will apply to a covered loss under Electronic Data Recovery coverage.

Equipment Breakdown/Home System Protection

The standard policy may not cover the replacement cost or even repair of important systems in a home such as heating, cooling, and electrical. Equipment Breakdown is an optional coverage that provides additional coverage to the insured.

- Covered equipment is defined as property that is covered under Coverages A, B, or C.
- The limit of insurance is $50,000 for items less than 15 years old and $2,000 for items 15 years old or greater.
- Available deductibles are:
  - $500
  - $1,000.
- Examples of coverage provided:
  - Expenses associated with repairs or replacement of covered equipment.
  - Direct physical damage to covered equipment.
  - Additional living expenses resulting from covered equipment breakdown events.
  - Spoilage as a result of covered equipment breakdown events.
  - Additional costs to replace equipment that is better for the environment or more energy efficient.
  - Damage caused by mechanical and electrical breakdown.
  - Damage caused by the tearing apart, cracking, burning, or bulging of a steam or hot water system or an air conditioning system.
  - Expediting expense incurred to limit the loss or speed homeowner's equipment restoration.
  - Pollutant cleanup and disposal.

Extended Dwelling Replacement Cost

The policy may be extended to include extended replacement or repair cost protections with no building code upgrade. This will allow Coverage A to keep pace with inflation in the event of a loss.

Coverage A can be extended up to the following percentages:

- Non-Premier — 75%
- Premier — 100%.

The endorsement may be added subject to the following conditions:

- A current replacement cost estimator must be furnished.
- The insured must maintain Coverage A at 100% of the dwelling's full replacement cost by paying renewal premiums computed to reflect the current replacement cost. The current replacement cost will be based on a residential construction cost index provided by a major appraisal company.
- Physical improvements or additions to the dwelling are required to be reported within 60 days if the full replacement cost of the improvements or additions exceeds $5,000 or 5% of the Coverage A limit shown on the Declarations Page, whichever is greater.

Extended Premises

Provides liability and premises coverage to land without any structures or to a two – four family dwelling that is owned by an insured who resides in one unit and rents out the other unit(s) of the dwelling (i.e., insured owns a duplex and lives in one unit and rents out the other unit).

Extended Watercraft Liability

Watercraft may be endorsed to the homeowners policy to extend Section II coverage, subject to the rules listed in the Boat and Personal Watercraft section.

Fair Rental Value

Coverage reimburses the insured for loss of rent if the insured rents a home (or a part of a home) to a tenant and that home (or that part of a home) becomes uninhabitable due to damage from a covered peril. Any expenses that do not continue while the home is uninhabitable (e.g., electricity) are then subtracted from the fair rental value. The payment will be for the least amount of time necessary to repair or replace that home rented or held for rental to others.

Fire Department Service

Coverage pays for service charges imposed by a fire department when called to protect the insured's property from a covered loss. No deductible applies to this protection. Additional limits may be purchased for non-premier policies. Premier policies do not have a limit.

Foundation Water Damage

Coverage provides for damage to the property foundation due to accidental escape of water or steam from a plumbing or heating system on the residence premises.

Functional Replacement Cost

Coverage is provided under Coverage A or Coverage B using current available construction materials or methods that are functionally equivalent to and less costly than obsolete, antique, or customer construction materials or methods.

Golf Cart

Coverage provides protection for golf carts on the insured premises, in a private residential community where golf carts can legally travel, or when used while playing golf or driving to play golf in the community golf course.

Home Day Care

Coverage provides protection in the event someone is injured while in the care of the insured when the following conditions are met.

- Home day care with a maximum of three children.
- Insured is required to be licensed by state in which the day care is located.
- Home day care is required to have a licensed nurse on the premises if there are children under 1 year of age.
- Insured may not care for children between the hours of 7 p.m. and 5 a.m.
- Home day care with maximum hours of operation of 10 hours/day and 50 hours/week.
- Provider must be at least 30 years old and have a minimum of 3 years day care experience.
- Provider may not administer prescription medications to the children.
- Business must be a sole proprietorship owned by the named insured and/or spouse (or party to a civil union/domestic partnership).
- Home day care with no employees other than family members.
- Home day care with no swimming pool or trampolines on premises.
- Home day care with no dogs or exotic animals on the premises.

Note: The above rules do not apply to the insured's own children.

Home Sharing

Coverage provides for theft and vandalism of contents to a primary or secondary/seasonal dwelling that is rented short-term to tenants on vacation.

Identity Fraud Expense

Coverage provides for expenses incurred by an insured as a direct result of any one identity fraud which is both commenced and first reported while in effect. Such expenses include cost of notarizing fraud affidavits, costs related to law enforcement, financial institutions, credit agencies, etc.

Incidental Farming

This endorsement covers incidental farming conducted on the residence premises. It is not applicable if farming operations are for business purposes. It expands motorized land vehicle coverage up to $20,000 when used on insured premises and provides limited livestock (as defined in the endorsement) coverage up to $25,000 ($2,000 per head of livestock or $1,000 if under 1 year old).

Landlord Furnishing

Coverage provides on a named perils basis for landlord furnishings (i.e., appliances, carpeting, and other household furnishings) in the residence premises regularly rented or held for rental. The basic limit of $2,500 may be increased in increments of $1,000 up to a total of $25,000 per apartment.

Limited Hidden Seepage and Leakage

Endorsement provides coverage for the deterioration, or wet or dry rot of property described in Coverages A, B, and C caused by accidental, repeated, or continuous seepage or leakage of water or steam from within a plumbing, heating, or air conditioning system or from within a household appliance.

Loss Assessment Residence Premises

Endorsement provides coverage for the insured's share of an assessment as a result of a sudden and accidental direct physical loss to the property owned by all members.

Note: Losses due to earthquake, land shock waves, or tremors from a volcanic eruption are not covered.

Coverage includes assessments due to deductible. The following assessment limits relating to the residence premises are available:

- Signature — $500 – $150,000
- Preferred — $3,000 – $150,000
- Elite — $10,000 – $150,000
- Premier — $100,000 – $150,000.

Low-Powered Scooter Liability

Endorsement provides coverage for an insured person who becomes legally obligated to pay because of bodily injury or property damage due to a covered occurrence from a two- or three-wheeled scooter that can be propelled by foot power and:

- Is equipped with a motor or engine, handlebars, and a deck designed to be stood on while operating.
- Is not intended to carry more than one person at a time.
- Is not designed or modified to exceed 20 Miles Per Hour (MPH) and to assist the disabled.
- Is not subject to motor vehicle registration.
- Is not a toy vehicle.

Motorized Bicycle Liability

Endorsement provides coverage for an insured person who becomes legally obligated to pay because of bodily injury or property damage due to a covered occurrence from a motorized bicycle that can be propelled by pedal power and:

- Is equipped with a motor or engine.
- Is not equipped with more than three wheels.
- Is not designed or modified to exceed 28 MPH.
- Is not subject to motor vehicle registration.
- Is not a toy vehicle.

Open Perils Content

Coverage provides for sudden and accidental direct physical loss to personal property except as limited or excluded in the policy.

Permitted Incidental Occupancies Residence Premises

Policy coverages are extended to apply to the business conducted by an insured person at the residence premises in connection to the business described on the Declarations Page.

Personal Injury

Endorsement provides coverage for personal injury such as false arrest, libel, or invasion of privacy. If purchased, the limit is equal to the current Coverage X limit of the policy.

Roof/Siding Matching

Coverage provides protection to replace any remaining undamaged part of the roof surface or siding of the damaged dwelling with material of like kind and quality.

Roof Surface

Coverage is provided for wind and hail losses by either Roof Replacement coverage or Roof Payment Schedule as shown on the Policy Declarations.

- **Roof Replacement** — This coverage provides repair or replacement to the roof.
- **Roof Payment Schedule (RPS)** — This coverage provides repair or a settlement percentage of the replacement cost based on the roof age and material. Refer to Roof Requirements — Roof Payment Schedule table for roof age requirements.

Roof Surface coverage for all other perils is based on replacement cost for a covered loss.

Note: An applicable deductible applies to any covered loss.

Scheduled Personal Property (SPP)

Scheduled Personal Property is an endorsement that covers listed valuable property that would otherwise have to be insured on a separate policy. Refer to the Scheduled Personal Property section for requirements and rules.

Service Line

Named insureds are covered for exterior underground piping and wiring, including permanent connections, valves, or attached devices providing service to the residence premises. The named insured is required to own and be responsible for the covered service line. Coverage applies when a peril results in a service line failure. Available limits and deductibles are:

Limits:

- $10,000
- $25,000 ($2,500 sublimit for lines 50 years or older).

Deductibles:

- $500
- $1,000.

Specific Structures Away from Residence Premises

The policy automatically provides Coverage B — Other Structures on a blanket basis to structures located on the residence premises.

The policy may be endorsed to cover specific, scheduled other structures away from the residence premises with underwriting approval.

Note: Refer to Underwriting if coverage limit is greater than $100,000.

Specific Structure Exclusion

An agent or underwriter may leverage this form to exclude coverage for a specific structure on the residence premises that would otherwise make the entire risk ineligible. Underwriting reviews to determine which coverages to exclude — Section I, Section II, or both. The insured will be required to sign and date the exclusion form.

Structures Rented to Others — Residence Premises

Structures rented for dwelling purposes may be written by charging a premium for both property and liability coverages.

Water Backup

Coverage provides for loss caused by water that backs up through sewers or drains, or overflows from a sump pump — not due to any negligence of the insured. All other water damage exclusions still apply.

This coverage is not available for risks located in flood hazard areas. Coverage may be added to an existing policy or a renewal. Water Backup coverage is not offered for dwellings located in Flood Zones A or V as defined by the National Flood Insurance Program (NFIP).

Note: Coverage does not apply if a loss occurs or is in progress during the first 10 days that coverage is initially bound or endorsed.

Windstorm and Hail Exclusion

This endorsement excludes Windstorm and Hail from the policy. Refer to Coastal Exposures for more information.
Note: A signed Windstorm and Hail Exclusion form is required prior to binding.

Discounts

The following discounts are available for qualifying risks.

Claim Free

Discount is applied based on all of the following items:

- Named insured or spouse maintained 12 months continuous coverage with homeowners, renters, or condominium insurance.
- Number of chargeable claims, excluding SPP, does not exceed the threshold limit.

Hail Resistant Roof

Discount applies on Hail Peril for HNP5 and HO3 properties with a UL certified hail resistant roof.

Home Buyer

Discount is available for HNP5 and HO3 properties purchased within the past 5 years of policy effective date. Proof of the purchase date is required. Discount is not available for dwellings under construction.

Package

Discount applies for all package or bundle policies with a condominium, home, or renters property and at least one private passenger auto.

Note: Discount is not available for bundled or cross-sold policies quoted or bound prior to July 15, 2026.

Paperless

Discount is applied at new business and renewal when the named insured is enrolled to receive all policy documents electronically.

Protective Device

Discount is available for HNP5 and HO3 properties based on a combination of burglar alarm, fire alarm, and automatic water shut-off devices that are locally installed and connected to a central station or a reporting (police/fire) station. Proof such as an installation certificate or monthly invoice is required.

Welcome

Discount is available at new business and up to four renewals for named insureds with a prior homeowner insurance policy that is not an affiliate of National General, Encompass, or Allstate Insurance.

Note: The named insured is required to have no lapse in coverage at new business — excluding renters policies.

Transaction Guidelines

Binding New Policies

An agent in good standing with National General has the authority to bind coverage according to the terms and conditions in this guide. New business applications cannot be bound or effective until the following conditions are met:

- Agent has obtained adequate information to accurately rate the risk and has done so.
- Application and all applicable forms and documents are completed and signed by the applicant and the appointed agent.
- Down payment or payment in full has been collected.

National General reserves the right to reject or cancel any risk not bound in accordance with these rules. Agents do not have authority to issue policies, endorsements, or cancellation notices — unless specifically authorized by National General in writing.

Brokering is not permitted. It is not acceptable to give the underwriting materials to other agents or brokers or to accept applications for risks that have been underwritten or will be serviced outside the office. Violations will result in immediate termination of the agency agreement.

Policy Term

All policies are issued for a 12-month term.

Transfer or Assignment

National General does not allow transfer or assignment of the coverage to a new location or new owner(s). A new, signed application specific to the new owner or new location is required. The new application must meet the eligibility requirements.

New Business Moratorium

In the event of a catastrophe or impending catastrophe, severe weather watch or warning, National General may invoke a moratorium on new business and endorsement activity. Authority to bind is reinstated after the event has passed.

Misrepresentation of Risk

Misrepresentation of a risk is insurance fraud. Each applicant has the responsibility and obligation to truthfully complete an application for insurance and to inform National General of any and all changes during the policy period. Failure to do so could result in denial of a claim or rescission of a policy.

The agent is responsible for helping the applicant fully disclose all material facts. To avoid possible misrepresentation and to ensure the accuracy of quoted premiums:

- Make sure the applicant understands and answers all questions. Ask the applicant all questions on the application concerning business use, past insurance fraud, and felonies.
- Inform the applicant that National General uses Motor Vehicle Reports (MVR), Comprehensive Loss Underwriting Exchange (CLUE), credit reports, and other available reports to assist in verifying information and rating a policy.
- Disclose all losses and accident activity.

Endorsements

Endorsement requests should be submitted using the agency policy system.

Premium adjustments resulting from policy changes will be made at the time of endorsement or incorporated into future installment bills. If all installment payments have been received, premium adjustments will be billed or credited directly to the insured.

Certain types of endorsements will be reviewed by National General and additional information may be requested as a result of the transaction being performed.

Cancellations

None of the mandatory coverages in the policy may be canceled unless the entire policy is canceled. If insurance is canceled, coverages are reduced, or property is foreclosed, the earned premium will be calculated on a pro rata basis.

Flat Cancellations

If the insured wants the policy canceled flat, the agent request must submit the cancellation request within 30 days of the date of issuance of the policy.

Insured Requested

Insured requested cancellations are calculated pro rata.

When an agent receives a request to cancel a policy from a named insured, co-named insured, or resident spouse who is listed on the Declarations Page, the agent can process the cancellation. A signed written request from the named insured is required. The insured's signed written request and any necessary proof documents must be retained in the agent's office.

Company Requested — Cancellation for Non-Payment

If payment for a billed installment is not received by the due date, a notice of cancellation may be sent to the insured, agent, and any mortgagee or additional interest. If payment is received before the cancellation effective date, the cancellation will not take effect and the policy will remain in-force. If the payment is received on or after the cancellation effective date, the cancellation will take effect. Cancellations for non-payment of premium are calculated pro rata.

Renewals

A renewal offer will be sent to the named insured prior to the policy expiration date according to statutory requirements. The insured must pay all balances due before money received can be applied to the renewal.

Billing, Payments, and Fees

Payments

All payment invoices are billed directly to the insured except the down payment, which must accompany the application. Each invoice will contain a schedule of remaining payments. If the policy is mortgagee billed, the bill is sent directly to the mortgagee.

All refunds are mailed directly to the insured.

When an agent accepts an insured's check, it should be made payable to National General or the agency. When an insured's check is made payable to National General, the check should be endorsed to the agency account by signing or stamping the check and indicating For Deposit Only.

Visa, American Express, and MasterCard credit card or debit card; agent sweep; or electronic check are acceptable methods of payment for:

- Down Payments
- Installment Payments
- Electronic Funds Transfer (EFT)/Auto Pay.

Electronic Funds Transfer (EFT)/Auto Pay

If the Electronic Funds Transfer (EFT)/Auto Pay payment is available, an insured may complete a National General Electronic Funds Transfer (EFT)/Auto Pay Authorization Agreement at new business or at renewal and choose to have monthly installments electronically withdrawn from a:

- Personal checking or savings account
- Credit card or debit card.

A draft schedule will be provided to the named insured.

If a change occurs on a policy resulting in a premium change, a revised statement will be issued in advance confirming the new amount to be drafted. Agents should notify insureds that National General will continue drafting based on the current draft schedule until the revised statement is issued.

Requests to change account information or draft dates must be received by National General at least 10 business days prior to the next draft. Requests to stop Electronic Funds Transfer (EFT)/Auto Pay must be received by National General at least 3 business days prior to the next draft. For account information changes, a new Electronic Funds Transfer (EFT)/Auto Pay Authorization Agreement is required.

Renewal down payments will automatically be drafted from the named insured's account — **unless** a written request to stop the draft is received.

Fees

Installment

The Installment fee is included in each installment payment and renewal down payments. The amount of the fee is based on payment method. The Installment fee is not included in new business down payments. This fee is fully earned.

- Direct Bill $8.00
- Electronic Funds Transfer (EFT)/Auto Pay
  - Checking/Savings $1.50
  - Credit Card $5.00
- Mortgagee $0.00

Late

A $25 fee is charged if a payment is not received by the due date. This fee is fully earned.

Non-Sufficient Funds

A $25 fee is charged on all returned checks that were not honored by the bank. This fee is fully earned.

Document Retention and Review Requirements

It is important to maintain complete and accurate records on all insurance transactions conducted on behalf of National General. When a sale or policy endorsement is completed, an Agency To Do prints a list of documents required to be submitted to National General or to be retained in the customer's file. These documents, whether paper or electronic form, should be retained for at least 5 years from the policy expiration date (or if coverage was never bound, from the date on which the quote was rejected). If state law requires such documents be retained longer than 5 years, comply with the state requirement.

All agency records pertaining to the business of National General are open for evaluation and inspection during routine reviews. Upon request, specific documentation will be required to be presented. Failure to provide the documentation within the allotted time period will result in a failed review.

Uploading Policy Documents

When a Policy To Do requires documentation be submitted to National General, uploading documents through the policy system is the fastest and easiest way to ensure the policy documents are immediately received.

Go Paperless

Enroll National General customers in paperless document delivery — adding value for the customer and reducing calls to the office. Paperless document delivery provides the insured immediate access to Declarations Pages, Policy Booklets, endorsements, renewals, and other documents.

Note: The insured will continue to receive printed invoices and cancellation notices delivered by the United States Postal Service.

The only requirement for an insured to Go Paperless is a valid email address.

Customer Self-Service

Customers choosing to Go Paperless will receive a welcome email advising to register online for self-service. Customers can opt in to Go Paperless at any time via the customer portal.

eSignature

New business customers can choose to electronically sign (eSign) the Point of Sale (POS) policy documents that require a signature — eliminating the need to obtain a handwritten signature. Customers are given the option to eSign by creating a self-service account or by using the direct link and personalized identification number (PIN) provided via text message or email.

Note: The eSign option is only available for new business POS documents requiring a signature; it is not available for signature documents generated by endorsements or renewals.

When an insured does not eSign the documents within 5 days of receiving the email or text message, the New Business Packet will be printed and mailed via the United States Postal Service using the address on the policy. If the documents are not signed before the initial policy To Do expires, the eSign capability will no longer be available, and the insured will need to wet sign and return the signature forms. Failure to submit the requested information to National General could result in an increase in policy premium or cancellation of the policy.

Customer Self-Service

When the policy is bound, the insured and co-named insured (if applicable) will receive an email advising them to register for a self-service account.

Note: A one-time registration is required for the insured to set up a username and password for future access to policy information.

Definitions

Barndominium

An open-plan structure, typically constructed of metal, built or converted into an all-purpose living space.

Non-Premier

Term is used to reference Signature, Preferred, and Elite product levels.

Primary

A home (dwelling, condominium, or apartment) where an insured spends the majority of time is considered the primary home. National General does not allow an insured to list more than one home as a primary home.

Exception: When a customer purchases a new home, the company will allow the customer to list both the newly purchased home and the existing home as primary for a reasonable amount of time. A reasonable amount of time is typically until the end the existing policy's term or 6 months, whichever is longer.

When an insured lives in more than one home, the factors which should be considered to determine the primary home, in order of importance, include:

- Home where the insured spends the majority of time.
- Address the insured uses on federal and state income taxes.
- Address listed on the insured's driver license.

Secondary

A non-primary home (dwelling, condominium, or apartment) occupied by the insured occasionally throughout the year. Secondary homes should be furnished. Heat and utilities should be maintained throughout the year.

Seasonal

A seasonal home is a residence with continuous unoccupancy of 3 or more consecutive months during any 1 year period. Heat and utilities should be maintained throughout the year. However, a seasonal home not used in the winter may turn off heat if pipes are drained and home is properly winterized.